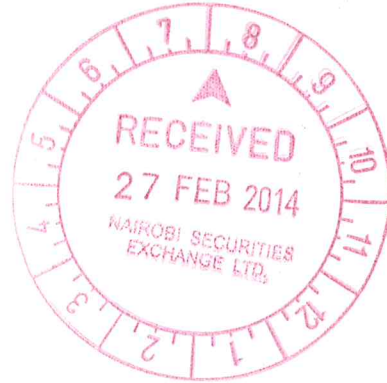




Kenya Commercial Bank Limited
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Kencom House, Moi Avenue
P.O. Box 48400-00100, NAIROBI
Telephone: +254 20 3270000/2851000/2852000
Mobile *254 711012000/734108200
SMS: 22522
Email: jkania@kcb.co.ke
24h interactive website: www.kcbbankgroup.com

Thursday, February 27, 2014

The Chief Executive/Secretary
Nairobi Securities Exchange
The Exchange
55 Westlands Road
NAIROBI



Dear Sir,

**RE: KENYA COMMERCIAL BANK LIMITED GROUP FINANCIAL
RESULTS FOR THE YEAR ENDED 31ST DECEMBER, 2013**

I am pleased to enclose herewith a copy of the Press Release on the Financial Results for the year ended 31st December, 2013 for the information and records of the Nairobi Securities Exchange.

Yours faithfully,


JOSEPH KANIA
COMPANY SECRETARY

Encl**

c. Authority Secretary
Capital Markets Authority
Embankment Plaza, 3rd Floor
Longonot Road, Upper Hill
P.O. Box 74800-00200
NAIROBI

N.O.O. Chief Executive Officer
KCB

Directors: N. Biwott (Chairman); J.N. Oigara (Chief Executive Officer); C.O. Otiwu (Chief Financial Officer); J.K. Kinyua; Eng. J.M. Ndeti;
Mrs. C.A. Kola; Prof. P.K. Kimuyu; Mrs. C.M. Muya-Ngaruiya; A.A. Khawaja; Gen. (Rtd) J.R.E. Kibwana; T.D. Ipomai

	BANK			GROUP		
	31-Dec-11 Kshs 000	31-Dec-12 Kshs 000	31-Dec-13 Kshs 000	31-Dec-11 Kshs 000	31-Dec-12 Kshs 000	31-Dec-13 Kshs 000
	Audited Restated	Audited Restated	Audited	Audited Restated	Audited Restated	Audited
I STATEMENT OF FINANCIAL POSITION						
A ASSETS						
1 Cash (both Local & Foreign)	8,582,793	7,486,203	8,649,572	15,697,286	14,941,781	15,759,310
2 Balances due from Central Bank of Kenya	11,555,840	11,422,492	8,173,873	11,555,840	11,422,492	8,173,873
3 Kenya Government and other securities held for dealing purposes	367,938	2,923,263	6,241,984	367,938	2,923,263	6,241,984
4 Financial Assets at fair value through profit and loss	-	-	-	-	-	-
5 Investment securities: a) Held to Maturity: a. Kenya Government securities	34,023,362	51,095,443	28,504,194	36,432,197	51,095,443	28,504,194
b. Other securities	-	-	-	-	19,355,721	20,344,670
b) Available for sale: a. Kenya Government securities	-	13,618,250	35,847,320	-	13,618,250	35,847,320
b. Other securities	9,204,501	2,298,627	2,057,948	9,204,501	2,298,627	2,057,948
6 Deposits and balances due from local banking institutions	7,874,875	-	56,742	7,874,875	-	1,059,638
7 Deposits and balances due from banking institutions abroad	9,774,005	4,491,511	5,166,173	33,392,099	20,477,204	19,349,766
8 Tax recoverable	9,418	-	679,218	20,557	10,598	740,020
9 Loans and advances to customers (net)	179,843,987	187,022,664	198,370,069	198,724,919	211,664,226	227,721,781
10 Balances due from group companies	-	-	-	-	-	-
11 Investments in associates	125	125	125	-	-	-
12 Investments in subsidiary companies	8,624,404	9,484,504	9,827,392	-	-	-
13 Investments in joint ventures	-	-	-	-	-	-
14 Investment properties	-	-	-	-	-	-
15 Property and equipment	5,624,766	5,617,823	5,363,433	8,017,595	8,895,573	8,484,836
16 Prepaid lease rentals	142,818	141,993	139,496	147,801	146,941	141,642
17 Intangible assets	1,476,594	1,140,932	1,334,265	1,516,684	1,173,945	1,403,180
18 Deferred tax asset	606,328	1,934,023	2,655,103	1,055,476	2,330,118	3,072,934
19 *Retirement benefit asset	-	1,049,000	1,837,000	-	1,049,000	1,837,000
20 Other assets	4,781,799	5,434,454	8,408,547	6,708,391	7,025,103	10,739,083
21 TOTAL ASSETS	282,493,553	305,161,307	323,312,454	330,716,159	368,428,285	391,479,179
B LIABILITIES						
22 Balances due to Central Bank of Kenya	-	-	-	-	-	-
23 Customer deposits	210,173,514	223,493,278	237,212,782	259,308,849	288,037,367	305,659,189
24 Deposits and balances due to local banking institutions	9,359,286	6,259,610	-	9,359,286	6,259,610	-
25 Deposits and balances due to foreign banking institutions	2,143,285	2,002,268	5,516,617	4,745,863	3,073,979	6,650,977
26 Other money market deposits	-	-	-	-	-	-
27 Borrowed funds	8,525,000	8,615,000	7,073,182	8,525,000	8,923,312	7,719,647
28 Balances due to group companies	5,519,607	5,685,248	5,966,928	-	-	-
29 Tax payable	-	1,713,284	-	119,372	1,813,086	179,377
30 Dividends payable	-	-	-	-	-	-
31 Deferred tax liability	-	-	-	-	-	-
32 *Retirement benefit liability	92,000	-	-	92,000	-	-
33 Other liabilities	1,344,203	3,101,394	5,152,309	4,026,762	5,616,372	7,287,423
34 TOTAL LIABILITIES	237,156,896	250,870,082	260,921,818	286,177,132	313,723,726	327,496,613
C SHAREHOLDERS' FUNDS						
35 Paid up /Assigned capital	2,968,746	2,970,340	2,984,228	2,968,746	2,970,340	2,984,228
36 Share premium/(discount)	18,891,221	18,921,568	19,330,200	18,891,221	18,921,568	19,330,200
37 Revaluation reserves	(1,983,146)	(84,815)	(163,398)	(2,574,793)	(579,189)	(163,398)
38 Retained earnings/ Accumulated losses	18,276,521	22,675,602	28,959,015	17,721,580	23,231,666	29,399,825
39 Statutory loan loss reserve	1,517,136	2,799,884	3,220,136	1,866,093		

II STATEMENT OF COMPREHENSIVE INCOME

1 INTEREST INCOME

1.1 Loans and advances	30,763,441	28,311,468
1.2 Government securities	7,109,907	7,355,172
1.3 Deposits and placements with banking institutions	553,257	360,946
1.4 Other Interest Income	471,695	61,488
1.5 Total interest income	38,898,300	36,089,073

2 INTEREST EXPENSE

2.1 Customer deposits	10,107,639	6,447,163
2.2 Deposits and placement from banking institutions	996,501	641,320
2.3 Other interest expenses	-	-
2.4 Total interest expenses	11,104,140	7,088,484

3 NET INTEREST INCOME/(LOSS)

	27,794,160	29,000,590
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4 OTHER OPERATING INCOME

4.1 Fees and commissions on loans and advances	2,883,552	3,845,358
4.2 Other fees and commissions	3,920,941	3,336,425
4.3 Foreign exchange trading income	1,681,984	1,684,575
4.4 Dividend Income	13,709	12,009
4.5 Other income	2,147,133	2,418,121
4.6 Total other operating income	10,647,319	11,296,489

5 TOTAL OPERATING INCOME

	38,441,479	40,297,079
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6 OTHER OPERATING EXPENSES

6.1 Loan loss provision	3,120,185	1,782,846
6.2 Staff costs	9,781,045	11,077,167
6.3 Directors' emoluments	127,913	135,794
6.4 Rental charges	372,408	359,805
6.5 Depreciation charge on property and equipment	1,249,952	1,276,101
6.6 Amortisation charges	526,680	563,103
6.7 Other operating expenses	7,507,405	7,356,072
6.8 Total other operating expenses	22,685,588	22,550,888

7 Profit/(loss) before tax and exceptional items	15,755,891	17,746,191
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8 Exceptional items	-	-
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9 Profit/(loss) after exceptional items	15,755,891	17,746,191
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10 Current tax	(5,993,747)	(6,040,598)
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11 Deferred tax	1,327,695	721,081
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12 Profit/(loss) after tax and exceptional items	11,089,839	12,426,674
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13 Other Comprehensive income:

13.1 Gains/(Losses) from translating the financial statements of foreign operations	-	-
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13.2 Fair value changes in available-for-sale financial assets	1,898,331	78,581
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13.3 Revaluation surplus on property and equipment	-	-
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13.4 Share of other comprehensive income of associates	-	-
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13.5 Income tax relating to components of other comprehensive income	-	-
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14 Other comprehensive income for the year net of tax	1,898,331	78,581
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15 Total comprehensive income for the year	12,988,170	12,505,255
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18 EARNINGS PER SHARE- DILUTED & BASIC KSHS	3.74	4.18
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19 DIVIDEND PER SHARE - DECLARED KSHS	1.90	2.00
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31-Dec-12 Kshs 000 Audited	31-Dec-13 Kshs 000 Audited
----------------------------------	----------------------------------

30,763,441	28,311,468
7,109,907	7,355,172
553,257	360,946
471,695	61,488
38,898,300	36,089,073

10,107,639	6,447,163
996,501	641,320
-	-
11,104,140	7,088,484

27,794,160	29,000,590
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2,883,552	3,845,358
3,920,941	3,336,425
1,681,984	1,684,575
13,709	12,009
2,147,133	2,418,121
10,647,319	11,296,489

38,441,479	40,297,079
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3,120,185	1,782,846
9,781,045	11,077,167
127,913	135,794
372,408	359,805
1,249,952	1,276,101
526,680	563,103
7,507,405	7,356,072
22,685,588	22,550,888

15,755,891	17,746,191
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15,755,891	17,746,191
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(5,993,747)	(6,040,598)
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1,327,695	721,081
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11,089,839	12,426,674
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1,898,331	78,581
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1,898,331	78,581
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12,988,170	12,505,255
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3.74	4.18
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1.90	2.00
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31-Dec-12 Kshs 000 Audited	31-Dec-13 Kshs 000 Audited
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33,973,438	32,457,329
7,648,656	8,327,336
807,968	572,654
652,156	256,080
43,082,218	41,613,398

11,229,319	7,871,927
1,216,667	757,185
-	-
12,445,986	8,629,113

30,636,232	32,984,286
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3,718,064	4,684,093
5,894,921	5,816,744
3,688,137	3,710,397
13,709	12,009
2,306,055	2,902,735
15,620,886	17,125,979

46,257,118	50,110,264
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3,756,642	2,905,975
11,861,196	13,469,901
171,559	197,395
1,159,033	1,146,429
1,755,273	1,872,231
538,926	580,629
9,806,346	9,813,946
29,048,975	29,986,505

17,208,143	20,123,759
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17,208,143	20,123,759
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(6,296,080)	(6,520,863)
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1,291,468	738,486
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12,203,531	14,341,382
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-	-
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97,273	738,799
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1,898,331	78,581
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-	-
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1,995,604	817,380
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14,199,135	15,158,762
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4.11	4.82
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1.90	2.00
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III OTHER DISCLOSURES				
	31-Dec-12 Kshs 000 Audited	31-Dec-13 Kshs 000 Audited	31-Dec-12 Kshs 000 Audited	31-Dec-13 Kshs 000 Audited
1 NON-PERFORMING LOANS AND ADVANCES				
a) Gross Non-performing loans and advances	12,019,204	15,199,950	14,750,335	19,227,705
b) Less Interest in Suspense	1,543,869	1,679,228	1,816,184	2,200,117
c) Total Non-Performing Loans and Advances (a-b)	10,475,335	13,520,722	12,934,151	17,027,588
d) Less Loan Loss Provision	6,852,370	6,090,384	7,599,324	6,761,992
e) Net Non-Performing Loans and Advances (c-d)	3,622,965	7,430,338	5,334,827	10,265,596
f) Discounted Value of Securities	2,279,721	5,376,081	3,991,583	6,601,170
g) Net NPLs Exposure (e-f)	1,343,244	2,054,257	1,343,244	3,664,426
2 INSIDER LOANS AND ADVANCES				
a) Directors, Shareholders and Associates	403,996	632,814	539,240	780,620
b) Employees	7,069,329	7,688,747	7,772,246	8,007,598
c) Total Insider Loans and Advances and other facilities	7,473,325	8,321,561	8,311,486	8,788,218
3 OFF-BALANCE SHEET ITEMS				
a) Letters of credit, guarantees, acceptances	100,674,117	106,425,736	102,024,865	108,989,120
b) Forwards, swaps and options	26,577,095	12,660,294	28,343,231	12,804,686
c) Other contingent liabilities	-	-	-	-
d) Total Contingent Liabilities	127,251,212	119,086,030	130,368,096	121,793,806
4 CAPITAL STRENGTH				
a) Core capital	42,125,397	50,905,250		
b) Minimum Statutory Capital	1,000,000	1,000,000		
c) Excess (a-b)	41,125,397	49,905,250		
d) Supplementary Capital	2,799,884	10,293,318		
e) Total Capital (a+d)	44,925,281	61,198,568		
f) Total risk weighted assets	197,733,995	272,565,071		
g) Core Capital/Total deposits Liabilities	18.8%	21.6%		
h) Minimum statutory Ratio	8%	10.5%		
i) Excess	10.8%	11.0%		
j) Core Capital / total risk weighted assets	21.3%	18.7%		
k) Minimum Statutory Ratio	8%	10.5%		
l) Excess (j-k)	13.3%	8.2%		
m) Total Capital/total risk weighted assets	22.7%	22.6%		
n) Minimum statutory Ratio	12%	14.5%		
o) Excess (m-n)	10.7%	8.0%		
5 LIQUIDITY				
a) Liquidity Ratio	35.9%	33.3%		
b) Minimum Statutory Ratio	20.0%	20.0%		
c) Excess (a-b)	15.9%	13.3%		

DIVIDEND

The directors have resolved to recommend to members at the forthcoming forty third Annual General Meeting a First and Final dividend for the year 2013 of Shs.2.00 per share to be paid on or about Friday, 13th June, 2014, to shareholders registered at the close of business on Monday, 12th May 2014. The register of members will be closed for one day on Tuesday, 13th May, 2014 for the purpose of processing the dividend.

ANNUAL GENERAL MEETING

Notice is hereby given that the forty third Annual General Meeting of the shareholders of Kenya Commercial Bank Limited will be held at the Bomas of Kenya, Nairobi, on Friday, 9th May, 2014 at 11.00 a. m. Full notice and Agenda will be published at a later date.

MESSAGE FROM THE DIRECTORS

The above Statement of Financial Position and Statement of Comprehensive Income are extracts from the Group's and Bank's financial statements which have been audited by KPMG-Kenya and received an Unqualified opinion.

The Financial Statements were approved by the Board of Directors on 26th February 2014, and were signed on its behalf by:

Ng'eny Biwott	- Chairman
Joshua Oigara	- Group Chief Executive Officer
Collins Otiwu	- Group Chief Financial Officer
Charity M. Ngaruiya	- Director
Joseph Kania	- Secretary